public accounting firm would not, however, be considered to be "subject to regular inspection" if it is included on the list of firms that is headquartered or has an office in a foreign jurisdiction that the PCAOB has determined, in accordance with PCAOB Rule 6100, it is unable to inspect or investigate completely because of a position taken by one or more authorities in that jurisdiction.[500] Based on our experience with the custody rule, we believe registration and the regular inspection of an independent public accountant's system of quality control by the PCAOB may lead to higher quality audits, resulting in additional investor protection. Further, most private funds are already undergoing a financial statement audit, so the increase in demand for these services may be limited.[501] Thus, although we acknowledge commenters' concerns, we still believe it important that the private fund auditors meet SEC independence requirements and be registered with, and subject to regular inspection, by the PCAOB.

Some industry commenters[502] and a commenter representing CLO investors[503] endorsed an alternative compliance option for CLOs, such as an agreed-upon-procedures engagement, instead of requiring such vehicles to undergo an annual audit. As stated above,[504] we believe that SAFs, including CLOs, have certain distinguishing structural and operational features that warrant carving them out of the private fund rules entirely, including the audit rule. We also believe that an agreed-upon-procedures engagement serves a different purpose than an audit. An

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500 *See, e.g.*, PCAOB Reports of Board Determinations Pursuant to Rule 6100, *available at* https://pcaobus.org/oversight/international/board-determinations-holding-foreign-companies-accountable-act-hfcaa.

501 For example, more than 90% of the total number of hedge funds and private equity funds currently undergo a financial statement audit. *See infra* section VI.C.4.

502 *See* LSTA Comment Letter; Canaras Comment Letter.

503 *See* Fixed Income Investor Network Comment Letter.

504 *See supra* section II.A (Scope) for additional information. The Commission is not applying all five private fund adviser rules to SAFs advised by SAF advisers.

agreed-upon procedures engagement is an attestation engagement in which a certified public accountant performs specific procedures agreed upon between the engaging party and the certified public accountant on subject matter and reports findings without providing an opinion or conclusion (*i.e.*, an agreed-upon procedures engagement is not an examination or review engagement).[505] Because the needs of an engaging party may vary widely, the nature, timing, and extent of the procedures may vary, as well.[506] Moreover, the intended users assess for themselves the procedures and findings reported by the certified public accountant and draw their own conclusions from the work performed by the practitioner.[507] An audit, on the other hand, is an examination of an entity's financial statements by an independent public accountant in accordance with either the standards of the PCAOB or generally accepted auditing standards in the United States ("U.S. GAAS") for purposes of expressing an opinion on those financial statements.[508] Although the final approach we are adopting is not identical to commenters' suggestions, we believe it is responsive to suggestions for the audit requirement not to apply to CLOs.

Commenters also requested clarification about whether advisers would need to obtain a separate audit of an SPV to comply with the mandatory audit requirement.[509] We understand that an adviser to a pooled investment vehicle client may utilize an SPV, organized as a limited liability company, trust, partnership, corporation or other similar vehicle, to facilitate

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505 *See* AICPA AT-C 215.02.

506 *See id.*

507 See AICPA AT-C 215.03

508 *See* rule 1-02(d) of Regulation S-X.

509 *See* E&Y Comment Letter; KPMG Comment Letter; PWC Comment Letter; AIC Comment Letter I; TIAA Comment Letter.

investments for legal, tax, regulatory or other similar purposes. We believe an investment adviser could either treat an SPV as a separate client, in which case the adviser will be advising the SPV directly, or treat the SPV's assets as assets of the pooled investment vehicles that it is advising indirectly through the SPV.[510] If the adviser treats the SPV as a separate client, the mandatory private fund audit rule will require the adviser to comply with the rule's audited financial statement distribution requirements.[511] Accordingly, the adviser will distribute the SPV's audited financial statements to the pooled investment vehicle's beneficial owners. If, however, the adviser treats the SPV's assets as the pooled investment vehicle's assets that it is advising indirectly, the SPV's assets will be required to be considered within the scope of the pooled investment vehicle's financial statement audit.

1. Requirements for Accountants Performing Private Fund Audits

Although there are substantive differences between the proposed rule and the final rule, we do not believe that these differences are significant. The mandatory private fund adviser audit rule includes certain requirements regarding the accountant performing a private fund audit, as currently required under the custody rule.[512] First, the rule requires an accountant performing a private fund audit to meet the standards of independence described in Regulation S-X.[513] Second, the rule requires the independent public accountant performing the audit to be registered with, and subject to regular inspection as of the commencement of the professional

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510 *See* Custody of Funds or Securities of Clients by Investment Advisers, SEC Investment Advisers Act Release No. IA-2968 (Dec. 30, 2009) [75 FR 1455 (Jan. 11, 2010)] ("2009 Custody Rule Release"), at 41.

511 *See* final rule 206(4)-10(a); *see also infra* section II.C.7 (discussing that an adviser needs only to take reasonable steps to cause the private fund, including an SPV, to undergo an audit if the adviser is not in a control relationship).

512 *See* final rule 206(4)-10(a) and rule 206(4)-2(d)(3) (defining "independent public accountant").

513 *Id.*

engagement period, and as of each calendar year-end, by, the PCAOB in accordance with its rules.[514]

Some commenters suggested that we should allow auditors to meet AICPA standards of independence as opposed to the standards of independence described in rule 2-01(b) and (c) of Regulation S-X.[515] Another commenter suggested that we should require advisers to rotate their auditors and prohibit auditors to private funds from providing any non-audit services.[516] Under the current custody rule, advisers to pooled investment vehicles qualifying for the audit provision must meet the standards of independence described in Regulation S-X.[517] Based on our experience with the audit provision in the custody rule, we continue to believe that an audit by an objective, impartial, and skilled professional contributes to both investor protection and investor confidence.[518] We have long recognized the bedrock principle that an auditor must be independent in fact and appearance, and we believe that the independence standards described in Regulation S-X focus on those relationships or services, including certain non-audit services, that are more likely to threaten an auditor's objectivity or impartiality.[519]

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514 *See* final rule 206(4)-10(a) and rule 206(4)-2(b)(4)(ii).

515 *See* Ropes & Gray Comment Letter; AIC Comment Letter II.

516 *See* SOC Comment Letter.

517 *See* rule 206(4)-2(b)(4); *see also* rule 206(4)-2(d)(3) under the Advisers Act.

518 *See* Revision of the Commission's Auditor Independence Requirements, Release No. 33-7919 (Nov. 21, 2000) [65 FR 76008 (Dec. 5, 2000)]. The custody rule requires all accountants performing services to meet the standards of independence described in rule 2-01(b) and (c) of Regulation S-X. *See* rule 206(4)-2(d)(3) under the Advisers Act.

519 *See* Revision of the Commission's Auditor Independence Requirements, Release No. 33-7919 (Nov. 21, 2000) [65 FR 76008 (Dec. 5, 2000)], at 5.

2. Auditing Standards for Financial Statements

Under the mandatory private fund adviser audit rule, an audit must meet the definition in rule 1-02(d) of Regulation S-X, as proposed and as currently required under the custody rule. Pursuant to that definition, financial statement audits performed for purposes of the audit rule would generally be performed in accordance with U.S. GAAS.[520]

Some commenters suggested that we consider whether auditing standards other than U.S. GAAS or PCAOB standards may meet the requirements of the rule,[521] while another commenter stated that "the rule should require advisers to obtain audits performed under rule 1-02(d) of Regulation S-X, as proposed."[522] After considering these comments, we continue to believe that audits should be conducted in accordance with U.S. GAAS for the following reasons. First, U.S. GAAS requires that an auditor evaluate and respond to the risk of material misstatements of the financial statements due to fraud or error.[523] Second, audits performed in accordance with U.S. GAAS help detect valuation irregularities or errors, as well as an investment adviser's loss, misappropriation, or misuse of client investments. Third, other standards may use different or more flexible rules and policies (*e.g.*, the option to follow a standard, rather than an obligation to

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520 Under the definition in rule 1-02(d) of Regulation S-X, an "audit" of an entity (such as a private fund) that is not an issuer as defined in section 2(a)(7) of the Sarbanes-Oxley Act of 2002 means an audit performed in accordance with either U.S. GAAS or the standards of the PCAOB. *See* 2003 Custody Rule Release, *supra* footnote 470, at n.41. When conducting an audit of financial statements in accordance with the standards of the PCAOB, however, the auditor would also be required to conduct the audit in accordance with U.S. GAAS because the audit would not be within the jurisdiction of the PCAOB as defined by the Sarbanes-Oxley Act of 2002, as amended, (*i.e.*, not an issuer, broker, or dealer). *See* AICPA auditing standards, AU-C Section 700.46. We believe most advisers will choose to perform the audit pursuant to U.S. GAAS only rather than both standards, though it will be permissible to perform the audit pursuant to both standards.

521 *See* E&Y Comment Letter; SBAI Comment Letter; AIMA/ACC Comment Letter; Deloitte Comment Letter.

522 Convergence Comment Letter.

523 *See* AICPA auditing standards, AU-C Section 240. Audits performed under PCAOB standards provide similar benefits. *See* PCAOB auditing standards, AS 2401, which discusses consideration of fraud in a financial statement audit.

do so), which may be less effective than U.S. GAAS. Finally, we believe that U.S. investors are more familiar with the procedures performed during a financial statement audit conducted in accordance with U.S. GAAS. A financial statement audit conducted in accordance with U.S. GAAS commonly involves an accountant confirming bank account balances and securities holdings as of a point in time and regularly includes the testing of a sample of transactions, including investor subscriptions and redemptions, that have occurred throughout the year. We believe that the common types of audit evidence procedures performed by accountants during a financial statement audit – physical examination or inspection, confirmation, documentation, inquiry, recalculation, re-performance, observation, and analytical procedures – act as an important check to identify erroneous or unauthorized transactions or withdrawals by the adviser. Thus, we continue to believe that audits should generally be conducted in accordance with U.S. GAAS under this rule.[524]

3. Preparation of Audited Financial Statements

The mandatory private fund adviser audit rule also requires the audited financial statements to be prepared in accordance with generally accepted accounting principles as currently required under the custody rule and as proposed.[525] Requiring that financial statements comply with U.S. GAAP or some other comprehensive body of accounting standards similar to U.S. GAAP if the differences are reconciled to U.S. GAAP is designed to help investors receive consistent and quality financial reporting on their investments from the fund's adviser.

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524 *See supra* footnote 520.

525 *See* final rule 206(4)-10(a) and rule 206(4)-2(b)(4). The SEC has stated that certain financial statements must either be prepared in accordance with U.S. GAAP or prepared in accordance with some other comprehensive body of accounting standards if the information is substantially similar to financial statements prepared in accordance with U.S. GAAP and contain a footnote reconciling any material differences. *See* 2003 Custody Rule Release, *supra* footnote 470, at n.41.

We had proposed to require that financial statements of private funds organized under non-U.S. law or that have a general partner or other manager with a principal place of business outside the United States contain information substantially similar to statements prepared in accordance with U.S. GAAP and any material differences must be required to be reconciled to U.S. GAAP. While one commenter suggested that we continue to require audited financial statements prepared in accordance with U.S. GAAP,[526] others suggested that we should recognize other accounting standards outside of the United States, such as International Financial Reporting Standards (IFRS),[527] and not impose a U.S. GAAP requirement.[528] Another commenter indicated that IFRS may be sufficient on their own without also requiring U.S. GAAP financial statements or financials with a reconciliation to U.S. GAAP.[529]

We continue to believe that U.S. GAAP is well understood by U.S. investors. U.S. GAAP also has important industry specific accounting principles for certain pooled vehicles, including private funds, and requires measurement of trades on trade date as opposed to settlement date, presentation of a schedule of investments, and certain financial highlights that may not be required under other accounting standards.[530] Thus, we continue to believe that it is important for audited financial statements to be prepared in accordance with U.S. GAAP or some other comprehensive body of accounting standards similar to U.S. GAAP if the differences are reconciled to U.S. GAAP.[531] Under the custody rule, financial statements of private funds

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526 *See* Albourne Comment Letter.

527 *See* SBAI Comment Letter; Deloitte Comment Letter.

528 *See* SIFMA-AMG Comment Letter I; AIC Comment Letter I.

529 *See* Deloitte Comment Letter.

530 *See* FASB ASC Topic 946, *Financial Services – Investment Companies*.

531 *See* rule 206(4)-2(b)(4)(i) and rule 206(4)-2(b)(4)(iii).

organized under non-U.S. law or that have a general partner or other manager with a principal place of business outside the United States are required to contain information substantially similar to statements prepared in accordance with U.S. GAAP and any material differences are required to be reconciled to U.S. GAAP.[532]

4. Distribution of Audited Financial Statements

The mandatory private fund adviser audit rule requires a fund's audited financial statements to be distributed to current investors within 120 days of the end of a private fund's fiscal year, as currently required under the custody rule.[533] The audited financial statements consist of the applicable financial statements, related schedules, accompanying footnotes, and the audit report.

We proposed that the audited financials be distributed "promptly" after the completion of the audit. Commenters requested that we clarify the "promptly" standard,[534] with at least one commenter suggesting an outer limit of 120 days after a fund's fiscal year end to distribute audited financial statements,[535] while other commenters requested additional flexibility around the time to distribute audited financial statements.[536] After considering these comments, as well as comments urging us not to create disparity between this rule and the audit provision of the custody rule, we are incorporating the custody rule's timing requirement for the distribution of financial statements into the mandatory private fund adviser audit rule. We believe that, based on our experience with the custody rule, a 120-day time period is generally appropriate to allow

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532 *See* 2003 Custody Rule Release, *supra* footnote 470, at n.41.

533 *See* final rule 206(4)-10(a) and rule 206(4)-2(b)(4)(i).

534 *See* NSCP Comment Letter; AIC Comment Letter I; ILPA Comment Letter I.

535 *See* Convergence Comment Letter.

536 *See* Segal Marco Comment Letter; SBAI Comment Letter.

the financial statements of a fund to be audited while also balancing the needs of investors to receive timely information.[537] This change will help ensure investors receive the statements in a timely and consistent manner.

In rare instances, an adviser may be unable to distribute a fund's audited financial statements within the required timeframe because of reasonably unforeseeable circumstances. For example, during the COVID-19 pandemic, some advisers were unable to deliver audited financial statements in the timeframe required under the custody rule due to logistical disruptions. Accordingly, because there is not an alternative method by which to satisfy the rule, the Commission would take the position that, if an adviser is unable to deliver audited financial statements in the timeframe required under the mandatory private fund adviser audit rule due to reasonably unforeseeable circumstances, this would not provide a basis for enforcement action so long as the adviser reasonably believed that the audited financial statements would be distributed by the deadline and the adviser delivers the financial statements as promptly as practicable.

Under the mandatory private fund adviser audit rule, the audited financial statements must be sent to all of the private fund's investors, as proposed and as currently required under the custody rule.[538] We did not receive any comments on this aspect of the proposal. In circumstances where an investor is itself a limited partnership, limited liability company, or

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537 We similarly believe that a 180-day time period is appropriate in the context of a fund of funds and that a 260-day time period is appropriate in the context of a fund of funds of funds because advisers to these types of pooled investment vehicles may face practical difficulties completing their audits before the completion of audits for the underlying funds in which they invest. We note that our staff has expressed a similar view for certain fund of funds for purposes of the custody rule. *See* Custody Rule FAQs, *supra* footnote 465, at Question VI.7, VI.8A, and VI.8B.

538 *See* rule 206(4)-2(b)(4)(i) and rule 206(4)-2(b)(4)(iii).

another type of pooled vehicle that is a related person of the adviser, it is necessary to look through that pool (and any pools in a control relationship with the adviser or its related persons, such as in a master-feeder fund structure), in order to send to investors in those pools.[539] Without such a requirement, the audited financial statements would essentially be delivered to the adviser rather than to the parties the financial statements are designed to inform. Outside of a control relationship, such as if the private fund investor is an unaffiliated fund of funds, this same concern is not present, and it is not necessary to look through the structure to make meaningful delivery. It will be sufficient to distribute the audited financial statements to the adviser to, or other designated party of, the unaffiliated fund of funds. We believe that this approach will lead to meaningful delivery of the audited financial statements to the private fund's investors.[540]

5. Annual Audit, Liquidation Audit, and Audit Period Lengths

Key to the effectiveness of the audit in protecting investors is timely and regular administration and distribution. We are requiring that an audit be obtained at least annually, as proposed.[541] The final mandatory private fund adviser audit rule incorporates the custody rule requirement that audits must be performed *promptly* upon liquidation.[542]

Requiring the audit on an annual basis will help alert investors within months, rather than years, as to whether the financial statements are free of material misstatements and will increase the likelihood of mitigating losses or reducing exposure to other investor harms. Similarly, a liquidation audit will help ensure the appropriate and prompt accounting of the proceeds of a

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539 *See* final rule 206(4)-10(a) and rule 206(4)-2(c). In a master-feeder structure, master fund financials may be attached to the feeder fund financials and delivered to investors in the feeder fund. *See* FASB ASC 946-205-45-6.

540 *See* rule 206(4)-10(a) and rule 206(4)-2(c).

541 Final rule 206(4)-10(a); *see* Proposing Release, *supra* footnote 3, at 109*; see also* rule 206(4)-2(b)(4)(i).

542 *See* rule 206(4)-2(b)(4)(iii).